

Ethics in Technology and Business

Introduction

Ethics means the rules or values that help people know what is right and wrong. In **technology and business**, ethics helps guide choices about how we use new ideas, data, products, and services. As these fields grow quickly, **ethical problems are becoming more common and more complex**.

Why Ethics Matters

- **Protects people's rights** and the well-being of society
- **Stops the misuse** of power, technology, or information
- **Builds trust** between companies, users, and the public
- **Makes sure companies follow** the law and do what society expects

Core Ethical Principle

1. **Autonomy** – Letting people make their own choices
2. **Beneficence** – Doing good and helping others
3. **Non-maleficence** – Not doing harm to others
4. **Justice** – Being fair in all decisions and resource sharing
5. **Accountability** – Taking responsibility for actions and decisions

Ethics in Technology

1. Data Privacy and Surveillance

Issue: Companies collect, store, and use people's personal data—sometimes without their knowledge.

Example:

In the **Facebook–Cambridge Analytica** case, data from millions of users was taken without permission and used for political ads.

Ethical Concerns:

- People should give **clear consent** before their data is used
- Companies must **protect personal data** from leaks
- Users should have the **right to delete** their data if they want

2. Artificial Intelligence and Algorithmic Bias

Issue: AI systems can make unfair decisions if they are trained on biased data.

Example: Amazon's AI hiring tool preferred male candidates because it was trained using mostly male resumes.

Ethical Concerns:

- **Fairness:** AI should not favor one group over another
- **Transparency:** People should know how decisions are made by AI
- **Responsibility:** Humans must be accountable for AI's actions

3. Cybersecurity and Hacking

Issue: Hacking and data breaches can expose the personal information of millions of people.

Example: In the **Equifax breach (2017)**, hackers stole sensitive data of 147 million people.

Ethical Concerns:

- Companies have a **duty to keep data safe**
- They should **inform users quickly** when data is stolen
- **Ethical hackers (white-hat)** can help protect systems, unlike **malicious hackers (black-hat)**

Ethics in Business

1. Corporate Social Responsibility (CSR)

Definition:

CSR means companies take care of how their actions affect people and the environment—not just focus on making money.

Example: Patagonia gives part of its profits to protect the environment and uses recycled materials in its products.

Ethical Concerns:

- **Protecting nature and the planet**
- **Treating workers fairly**
- **Helping and supporting local communities**

2. Deceptive Advertising

Issue: When companies lie or hide the truth about a product or service.

Example: Volkswagen said its cars were eco-friendly, but they secretly used software to cheat pollution tests.

Ethical Concerns:

- **Telling the truth** in ads
- **Keeping customers' trust**
- **Following advertising rules and laws**

3. Insider Trading and Financial Integrity

Issue: Using secret company information to make personal money in the stock market.

Example:

Martha Stewart was charged with insider trading after using private information to avoid a loss in stock.

Ethical Concerns:

- **Fairness in the market**
- **Trust in money and business systems**
- **Breaking the law and facing punishment**

Ethical Challenges in Emerging Technologies

Emerging technologies offer unprecedented benefits but also pose significant ethical dilemmas.

As these technologies advance, the societal, legal, and moral implications become more complex, requiring interdisciplinary analysis and responsible governance.

1. Artificial Intelligence (AI)

a. Bias and Discrimination

AI can copy human biases if trained with unfair data.

- **Example:** An AI hiring tool may reject women if trained with mostly male resumes.
- **Case:** Amazon removed an AI system that was biased against female applicants.

b. Lack of Accountability

It's unclear who is to blame when AI makes a mistake.

- **Example:** If a self-driving car crashes, is it the driver, the programmer, or the company's fault?

c. Autonomy and Control

AI might act without human permission, raising safety concerns.

- **Example:** Military drones that target enemies without a human deciding.

d. Privacy Invasion

AI used in cameras and face recognition may track people without their knowledge.

- **Example:** Smart city cameras using AI to follow people's movements.

2. Big Data

a. Informed Consent

People often don't know how their data is collected or used.

- **Example:** Social media companies using tricky terms to collect personal data.
- **Case:** Facebook–Cambridge Analytica used personal data without clear permission.

b. Data Ownership and Control

There's confusion over who owns the data and who makes money from it.

- **Example:** Health apps selling your body data to companies.

c. Surveillance and Profiling

Big data can be used to watch people and judge them unfairly.

- **Example:** Police using data to predict crimes, which may target certain communities more.

d. Re-identification Risks

Even if data is made “anonymous,” it can often be matched to real people.

- **Example:** Netflix released user data, but researchers figured out who the users were by matching it with IMDb reviews.

3. Cybersecurity

a. Responsibility for Breaches

When data is stolen, it's hard to decide who is responsible.

- **Example:** If hackers steal your info, should the company be punished for not protecting it?

b. Hacking for Good (Ethical Hacking)

Good hackers find and fix security flaws, but their work can still raise concerns.

- **Example:** A hacker finds a bug on a government site—helpful, but was it legal?

c. Government Surveillance vs. Freedom

Governments say they need to watch people for safety, but it can harm privacy.

- **Example:** Edward Snowden revealed the NSA was spying on millions of people.

d. Digital Divide and Lack of Knowledge

Not everyone knows how to stay safe online.

- **Example:** Older or rural people may be more likely to fall for scams or viruses.

4. Biotechnology

a. Genetic Privacy

Your DNA can reveal very private things. Sharing it can be risky.

- **Example:** People using 23andMe to learn about their ancestry had their data shared with police.

b. Gene Editing (CRISPR)

Editing genes can cure diseases but also raises big moral questions.

- **Example:** In China, two babies were born after their genes were edited, which caused global concern.

c. “Playing God”

Changing life forms leads to deep ethical and spiritual questions.

- **Example:** Scientists creating new organisms in labs using synthetic biology.

d. Accessibility and Inequality

Advanced gene treatments might only be available to rich people.

- **Example:** "Designer babies" and costly genetic cures may widen the gap between rich and poor.

Business Ethics: Fair Trade, Consumer Rights, and Corporate Governance

Introduction to Business Ethics

Business Ethics means using moral values to guide how businesses act. It helps companies decide what is **right and fair** in their work. This includes how they treat employees, customers, the environment, and everyone connected to the business.

“Ethics is knowing the difference between what you have a right to do and what is right to do.”

– *Potter Stewart*

This quote reminds us that just because something is legal doesn't always mean it's ethical. A good business should **do what is right**, not just what is allowed.

1. Fair Trade

Fair Trade is a movement aimed at promoting ethical and equitable trading practices that ensure fair compensation, safe working conditions, and sustainable livelihoods for producers, especially in developing countries.

Key Principles:

- Fair prices for producers
- No exploitative labor (child or forced labor)
- Environmentally sustainable practices
- Transparent supply chains

Example: Fairtrade-certified Coffee Cooperatives in Ethiopia

- Farmers receive a guaranteed minimum price.
- Additional **Fairtrade Premium** invested in local schools, clean water, and farming tools.
- Promotes sustainable farming and reduces middlemen exploitation.

Ethical Challenges:

- Some companies use “**fairwashing**” – falsely advertising products as fair trade.
- Cost of certification may be burdensome for small producers.
- Limited consumer awareness and willingness to pay higher prices.

2. Consumer Rights

Definition: Consumer rights are the legal and ethical entitlements that protect buyers of goods and services, ensuring fair treatment and access to safe products and accurate information.

Basic Consumer Rights (as per UN Guidelines):

1. **Right to Safety** – protection against hazardous goods.
2. **Right to Information** – accurate and complete product details.
3. **Right to Choose** – access to a variety of products.
4. **Right to Be Heard** – consumer interests considered in laws and practices.

5. **Right to Redress** – compensation for unfair practices.

6. **Right to Consumer Education.**

Example: Johnson & Johnson Baby Powder Controversy

- Consumers alleged the talc-based product caused cancer.
- Lacked sufficient warning labels; lawsuits led to product withdrawal in multiple countries.

Ethical Considerations:

- False advertising or hidden terms in contracts.
- Aggressive upselling or exploitative pricing (e.g., in pharma or insurance).
- Use of consumer data without consent (ties in with **data ethics**).

3. Corporate Governance

Definition:

Corporate Governance refers to the system of rules, practices, and processes by which a company is directed and controlled. It balances the interests of shareholders, management, customers, suppliers, financiers, and the community.

Pillars of Good Corporate Governance:

1. **Accountability** – Clear roles and responsibilities.
2. **Transparency** – Open disclosure of financial and operational activities.
3. **Fairness** – Equal treatment of all shareholders.
4. **Responsibility** – Ethical decision-making and compliance with the law.

Example:

Enron Scandal (2001)

- Executives used accounting loopholes and special-purpose entities to hide billions in debt.
- Lack of board oversight and ethical failure led to collapse.
- Resulted in **Sarbanes-Oxley Act** to enforce corporate transparency.

Ethical Concerns:

- Insider trading and conflict of interest.
- Executive compensation misaligned with performance.
- Board diversity and stakeholder representation.

Ethical Marketing and Advertising Practices

Introduction

Ethical Marketing

Ethical marketing means promoting products or services in a **fair, honest, and responsible** way. It ensures that companies treat customers and society with **respect** and **truthfulness**.

Ethical Advertising

Ethical advertising means sharing the **true facts** about a product, respecting consumer rights, and **avoiding tricks or lies** in ads.

Key Principles of Ethical Marketing & Advertising

1. **Truthfulness** – No lies or false promises
2. **Transparency** – Be clear about what the product offers and its limits
3. **Respect for Privacy** – Do not use personal data without permission
4. **Social Responsibility** – Avoid harming or targeting vulnerable people (like kids or the elderly)
5. **Fairness** – Don't manipulate people or compare unfairly to other products

Core Areas with Examples

1. Truthful Product Representation

Good Practice: Tell the truth about what the product does, its ingredients, and how it should be used.

- **Bad Example – Volkswagen**
Claimed their cars were low-emission, but used software to cheat pollution tests.

- **Good Example – The Body Shop**
Clearly markets their products as cruelty-free and environmentally friendly.

2. Consumer Data Protection in Digital Marketing

Good Practice: Ask for permission before collecting data, let users opt out, and never sell their data without consent.

- **Bad Example – Facebook & Cambridge Analytica**
Collected personal data without clear permission for political ads.
- **Good Example – Apple**
Promotes strong privacy and never tracks users without their permission.

3. Targeting Vulnerable Audiences

Good Practice: Do not take advantage of children, the elderly, or poor communities with tricky ads.

- **Bad Example – Junk Food Ads**
Sugary foods and fast food heavily shown during kids' TV shows.
- **Good Example – LEGO**
Shows ads that include all genders and focus on learning and creativity.

4. Avoiding Psychological Manipulation

Good Practice: Ads should not use fear, guilt, or body shame to sell products.

- **Bad Example – Fairness Cream Ads**
Promote the idea that lighter skin is needed for success, which is harmful.
- **Good Example – Dove “Real Beauty” Campaign**
Celebrates all body types and challenges narrow beauty standards.

5. Environmental Responsibility (Green Marketing)

Good Practice:

If you say a product is eco-friendly, prove it with real facts—not just a label.

- **Bad Example – H&M “Conscious Collection”**
Claimed sustainability but didn’t share full details about its production process.
- **Good Example – Patagonia**
Uses recycled materials, shows how their products are made, and even tells people to buy less.

Data Privacy

Definition:

Data privacy means protecting people’s personal information and giving them control over how it is collected, stored, used, and shared.

Key Aspects:

- **Consent:** People must agree clearly before their data is collected.
- **Data Minimization:** Only collect the data that is truly needed.
- **Transparency:** Tell users what data is collected and how it will be used.
- **Security:** Keep personal data safe from hackers or misuse.

Example: GDPR (General Data Protection Regulation) is a strong data privacy law in Europe. It makes companies like Facebook and Google:

- Ask users for permission before collecting their data
- Let users see, change, or delete their data if they want

Surveillance

Definition:

Surveillance means watching or tracking people’s actions, behavior, or data to guide, control, protect, or monitor them.

Types of Surveillance:

- **Government Surveillance:** Used by governments to prevent crime or protect national security.
- **Corporate Surveillance:** Companies track what people do online to show targeted ads.
- **Mass Surveillance:** Collecting data from many people, even if they are not suspected of anything.

Key Issues:

- **Privacy Violation:** Happens when people are watched without knowing or agreeing.
- **Chilling Effect:** People may feel scared to speak or act freely if they know they are being watched.
- **Accountability:** Who is checking that the surveillance is being done fairly and responsibly?

Example: Edward Snowden revealed that the **NSA (National Security Agency)** was secretly collecting large amounts of data from people's emails, calls, and messages through a program called **PRISM**, without telling them. This caused a global debate on privacy and surveillance.

Ethical AI Development

Definition:

Ethical AI development means creating and using AI in a way that is **fair, safe, honest**, and respects **human values** and **rights**.

Key Principles:

- **Fairness:** AI should treat everyone equally and avoid bias or discrimination.
- **Transparency:** People should be able to understand how AI makes decisions.
- **Accountability:** Developers and companies must take responsibility for what AI does.
- **Privacy:** Personal information used by AI must be kept safe and protected.
- **Human Oversight:** Humans should always be able to control important decisions made by AI.

Example: Amazon used an AI tool to help with hiring, but it unfairly favored male candidates because it was trained on past data with gender bias. Amazon stopped using the tool. This shows why **ethical rules** and **human checks** are important in AI systems.